

COMMERCIAL FINANCING AUDIT PROGRAM #11-10-00

The release of this audit program to parties external to IBM requires the written approval of the Chief Auditor.

This program is intended as a guide for assessing risk management in this process through the performance of an audit or a similar engagement. Risk management is the process to identify, manage, and control potential events in order to provide reasonable assurance related to the achievement of IBM's business and control objectives. IBM's control objectives fall into five broad categories:

1. compliance with external laws and regulations, as well as IBM policies and procedures
2. accomplishment of business objectives
3. reliable information for financial reporting and decision making
4. efficient operations, and
5. safeguarding both intellectual and physical assets.

The control assessment questions are intended to address process objectives from the categories above and the risks to achieving those objectives. Objectives and risks in the actual process under review may differ based on organizational, operational, regulatory, and economic factors. As such, individuals performing the engagement must formulate a test strategy based on risks relative to the actual process under review, regardless of whether the risks are identified within this program.

DATE CHANGED	SECTION #	SUBTITLE IN SECTION	CHANGED BY (NAME)	COMMENTS
September 2025	Planning	Audit Program Risk Alignment	CA&AS Ops	Changes to audit risk levels from recent revalidation
February 2025	Control Assessment Questions	10. Revenue and Cost Recognition and 12. Regulatory Compliance and Taxes	Guillermo Gonzalez	Clarifications done in Revenue Recognition Test (CF001.P) and Statutory Test (RT002.P)
February 2023	All	All	CA&AS	Converted from Notes into a Word document and into a Box folder

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COMMERCIAL FINANCING

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PROCESS AND OBJECTIVE

The global commercial financing process starts when a request for a credit line to finance IBM information technology equipment is received from a business partner. Requested line of credit, also known as working capital, is collateralized mainly with dealer inventory and accounts receivable. The process also includes supplier selection, order approval, and payment to suppliers for dealer purchases. The process ends with the dealer repaying the amount financed plus interest due. Essential to the process is the ongoing monitoring of dealer credit worthiness, credit lines, and outstanding accounts receivable.

Starting 1Q 2017, separate financing legal entities under IBM Credit LLC ("IBM Credit") were set up in most countries in which IBM Financing operates, specifically for client and commercial financing activities. New processes were implemented to facilitate the inter-company agreements, inter-company billings, and services provided between IBM and IBM Credit. Also, existing processes were modified to reflect to the operational changes.

Please note that only Client Financing and Commercial Financing activities are run by IBM Credit, while GARS remained with IBM.

There were some countries omitted from this effort in 2017, and there have been some countries identified recently in 2022 to move back to the division model. This change was done as Project Trek.

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PLANNING: Audit Program Risk Alignment

Commercial Financing

Defined Risk Area	Audit Risk Level	Key Control Question	Test Number
Partner Management and Repayments	High	Accounts Receivable - Cash Receipts and Reconciliations Accounts Receivable - Collection Program Accounts Receivable - File Adjustments Business Partner Billing Revenue and Cost Recognition	All All All All All
Account Management	Medium	Business Partner Validation Regulatory Compliance and Taxes	DV001.P RT001.P
Create Pricing Quote	Medium	Contract Management	CM001.P
Create Contract Package	Medium	Contract Management	CM001.P
Supplier Management and Settlement	Low	Transactional Approval Accounts Receivable - Cash Receipts and Reconciliations Supplier Payments Revenue and Cost Recognition	All All All All

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PLANNING: Data Analysis

Data analysis should be a part of every engagement where data is available in databases or data warehouses that can be accessed through query programs. This concept enhances the risk-based auditing approach, makes the audit process more efficient, and increases the productivity of the audit team. When the audit team does not have the skills required to perform these tasks, assistance should be sought from the Technology team.

All data used for analysis must be reconciled to an independent source so that the auditor has confidence that the universe is complete.

The [Data Analysis engagement procedures in the Audit Manual](#) (link internal to CA&AS members only) provide further suggestions.

This table shows what data can be reviewed and analysis techniques.

Data to be Analyzed	Analysis to be Performed	Possible Anomalies	Concern
Pended transactional approvals	Measurements for pended transactional approvals	Delays in processing transactional approvals and resolving issues	Business Partner dissatisfaction; missed revenues
Billings	Measurement of delayed billings; billing adjustments and credit notes	Errors or delays in processing billings; terms and conditions not accurate	Understatement of revenues; financial misstatement
Delinquency	Review frequency and amount	Fraud, Business Partner validation; poor credit rating or approval decision; poor design or execution of collection program	Collection of outstanding AR; loss of assets
Write-off report	Review frequency and amount of each write-off	Fraud, poor credit rating / approval decision	Financial loss
Unapplied funds account (including unapplied cash and credits)	Check aging and amounts	Inaccurate A/R for Business Partners	Accuracy of data and financial misstatement; Business Partner dissatisfaction
A/R disputes	Review A/R disputes	Contract and transactional terms and conditions; side letters; billing errors	Financial loss; financial misstatement
Electronic transfers	List of electronic transfers with errors	Unauthorized transactions; incorrect data in applications	Unauthorized payments; delayed payments
Supplier settlements	Late payments to suppliers; payment corrections; manual payments (if fully process fully automated)	Process design and execution	Financial loss; supplier dissatisfaction

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PLANNING: Reference Material

Worldwide

- Entry point contacts for contractual T's & C's deviations
- [Accounting Instructions](#)
- [Accounting Practices](#)
- [Accounting Controls](#)

[Business Continuity Planning Corporate Guidelines - BPBC127 Guideline for Business Process - Area Business Continuity Planning](#)

US/CHQ

- Standard and Practices Manual
- [Business Conduct Guidelines](#)
- Corporate Instructions
 - [Finance 101 - Control of Disbursements \(FIN101V\)](#)
 - [Finance 151 - Application System Control and Auditability \(FIN151I\)](#)
 - [Finance 166 - Risk evaluation - Corporate Directive Deviation \(FIN166F\)](#)

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PLANNING: Fraud Template

Fraud is any intentional act or omission designed to deceive others and resulting in the victim suffering a loss and/or the perpetrator achieving a gain. Fraud can be categorized into fraudulent financial reporting, misappropriation of assets, and improper or unauthorized expenditures.

Description of Fraud Risk	Typical Controls that should Detect the Fraud Risk	Testing Approach
Misrepresentation of Business Partner or financial strength of Business Partner	1. Business Partner validations 2. Credit and payment history 3. Audited financial statements	Test Business Partner approval, credit approval, and compliance to terms and conditions. Test aged/delinquent AR, write offs, and performance of a root cause analysis.
Financing fictitious transactions: collateral consists of assets not backed by intrinsic value or have inflated values.	1. Supplier and Business Partner validations 2. Credit approval 3. Order approval 4. Supplier payments	Test Business Partner approval, credit approval, and compliance to terms and conditions. Test aged/delinquent AR, write offs, and performance of a root cause analysis.
Unauthorized commitment or side letter to defer or waive payments and fees, waive credit conditions, permit non-standard terms and conditions; forge or modify documents.	1. Credit approval 2. Order approval 3. Billings and accounts receivable	End to end testing of transactions, based on judgmental samples.

Note: The probability and impact will vary depending on the organization/business unit that is being audited.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Contract Management

Objective:

Was a valid contract in place for credit extended to a business partner, including all required approvals for non-standard terms and conditions?

Risk/Exposure:

Lack of a valid contract, or a contract with non-standard terms and conditions that did not have all of the required reviews and approvals, could result in IBM not being able to enforce payment by Business Partner, resulting in financial loss to IBM.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Contract Management

Primary Test: Contract Management (CM001.P)

Objective:

Determine if standard terms and conditions (T&Cs) were used in establishing contracts, and that non-standard T&Cs were properly reviewed and approved (including Contracts & Negotiations and Accounting).

Approach:

Determine the process used to create and manage contracts. Determine if the process allows for non-standard terms and conditions. If no exceptions are identified for contract creation and approval of non-standard terms and conditions, review a listing of delinquencies, write-offs, credit notes, customer placed in suspense, and customer claims to determine if any of these accounts receivable exceptions are a result of unapproved or ambiguous contract terms and conditions. Select these exceptions and test for the following:

- Was there a valid contract in place?
- Was the contract appropriately approved by IBM Financing, including all non-standard T&Cs?
- Does the contract contain the mode of payment, penalties for late payments, termination terms, tax treatment, and clauses for recourse in the event of customer default?
- Was the contract signed by the customer and accepted by IBM Financing prior to the first transaction being processed?
- Were all contract amendments properly justified, approved, and documented?
- Were there any side letters that altered the contract?
- For IBM products financing, were there any contract established between IBM, BP, and IBM Credit (e.g., assignment agreement)?

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Business Partner Validation

Objective:

Did the Business Partner validation and revalidation process ensure that the credit rating was current and periodically evaluated?

Risk/Exposure:

Current financial data for Business Partners should be reviewed on a regular basis to ensure that dealers remain credit worthy.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Business Partner Validation

Primary Test: Business Partner Validation (DV001.P)

Objective:

Determine if the financial status of Business Partners is assessed when first appointed and periodically thereafter so that their credit line reflects current conditions.

Approach:

Review the process used to assess new Business Partners and to schedule and perform periodic revalidation of Business Partners. Test a sample of new Business Partners and required revalidations that were either not performed or were performed late and test the following:

- A. Did the validation include a review of current financial data, and was the Business Partners' current credit line valid based on current financial information?
- B. Was there adequate business justification and approvals for not performing revalidations, as required.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Transactional Approval

Objective:

Were Business Partner requests for product from suppliers approved based upon available line of credit? If not, were exceptions properly reviewed and approved?

Risk/Exposure:

Allowing Business Partners to exceed credit limits without proper review and approval may compromise the Business Partners ability to repay and could result in the loss of assets. In addition, delays in resolving pended orders may lead to Business Partner dissatisfaction and lost revenue opportunities for IBM.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Transactional Approval

Primary Test: Transactional Approval (TA001.P)

Objective:

Determine that Business Partner transactions were within approved credit limits, or had the required exception approval, and met any conditions required by Credit.

Approach:

Use data analysis to select high risk transactions. For the selected samples, test attributes to include:

- Was the transaction within approved credit limit, or was exception approval obtained?
- Were any required Credit conditions met?
- Was any required collateral in place?

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Transactional Approval

Secondary Test: Pended Orders (TA002.S)

Objective:

Determine if orders that were pended and subsequently approved were properly approved. Orders should be approved for Business Partners with sufficient credit or pended and approved on an exception basis if credit was not sufficient.

Approach:

Review process by which orders are pended for approval. Select a sample of orders that had pended and were subsequently approved to determine the following:

- A. Was the pended order properly approved, per local and/or global guidelines?
- B. If required, had the Business Partner paid down their outstanding A/R balance prior to the order being approved?

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Transactional Approval

Primary Test: Overlines (TA003.P)

Objective:

Determine if situations where Business Partners had exceeded their credit line (overlimit) had been properly approved and corrective action had been taken to reduce the Business Partners' outstandings below their credit line.

Approach:

Review management reports used to monitor Business Partners who had outstanding A/R balances in excess of established credit lines. Select a sample of Business Partners in an overlimit and determine the following:

- A. Was the overline properly approved, per local and/or global guidelines?
- B. Was there documentation to support the Commercial Financing center actions to reduce the Business Partners' outstandings below their credit line (i.e., request payment from Business Partner)?

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. Accounts Receivable - Cash Receipts and Reconciliations

Objective:

Did the cash receipts process ensure that all funds received were deposited promptly and applied to the correct customer account?

Risk/Exposure:

Delayed cash receipts and inaccurate cash application could cause customer dissatisfaction and increased delinquency. Also, delayed or inaccurate reconciliations of cash receipts and bank accounts could result in inaccurate financial reporting.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. Accounts Receivable - Cash Receipts and Reconciliations

Primary Test: Cash Reconciliations (AR001.P)

Objective:

Determine if reconciliations were accurately performed, properly approved, and reconciling items resolved promptly.

Approach:

Review process for performing daily cash reconciliations. Select a sample of days when daily cash reconciliations had not been performed or daily cash reconciliations with reconciling items and test the following:

- A. Were reconciliations accurately prepared?
- B. Were reconciliations properly and timely approved?
- C. Were reconciling items resolved promptly? (suggested : 30 days after being identified)

For any cash of mis-directed payment between IBM and IBM credit, ensure the reconciliation detect the variance and appropriate follow up was taken to transfer the received cash to correct account.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. Accounts Receivable - Cash Receipts and Reconciliations

Primary Test: Bank Reconciliations (AR002.P)

Objective:

Determine if reconciliations were accurately performed, properly approved, and reconciling items resolved promptly.

Approach:

Review process for performing bank reconciliations. Select a sample of bank reconciliations that had not been performed or bank reconciliations with reconciling items and test the following:

- A. Were reconciliations accurately prepared?
- B. Were reconciliations properly and timely approved?
- C. Were reconciling items aged and resolved promptly?

Note: Separate bank accounts were created for IBM Credit, ensure any open variance due to mis-directed payment (e.g., payment to IBM was made to IBM Credit, vice versa) were timely detected and appropriately resolved.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. Accounts Receivable - Cash Receipts and Reconciliations

Secondary Test: Insufficient Funds (AR003.S)

Objective:

Determine if effective corrective action taken to resolve situations where checks are returned or there are direct debit failures due to insufficient funds (NSF).

Approach:

Review direct debit failure report to determine how many payments were returned by the bank due to insufficient funds. Select a sample to determine the following:

- A. Were the Business Partners' accounts receivable re-established promptly?
- B. Was the Business Partner re-invoiced promptly?
- C. Was the Business Partner charged a penalty, where applicable?

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. Accounts Receivable - Cash Receipts and Reconciliations

Primary Test: Account Reconciliations (AR004.P)

Objective:

Determine if reconciliations of financing system (IRFS) to ledger were completed within one month, accurately prepared, properly supported, and timely approved.

Approach:

Obtain a list of ledger account reconciliations used to verify that all financed assets were accurately recorded. Determine if all reconciliations were reported. If so, select accounts to review where reconciliations were not performed, not reviewed by management, or where aged items existed.

- A. If the reconciliations were not prepared monthly, determine the cause.
- B. Review the supporting documentation to the reconciliation and verify that entries into the account were valid.
- C. Determine the cause for lack of management review.
- D. Verify that the manual entries were supported and approved.
- E. Were the reconciling items aged and tracked until resolution?
- F. Was there evidence of any attempt to manipulate the financial results through improper accounting entries?
- G. Were the reconciliations aged items reflected accurately in the key indicator reporting?

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 5. Accounts Receivable - Collection Program

Objective:

Is there an established collection program? Is it effective and conducive to a controlled environment?

Risk/Exposure:

The lack of an effective collection program directly impacts cash flow and profitability. The prompt collection of accounts receivable and the early identification of delinquent accounts and corrective action to resolve delinquencies is required to safeguard IBM assets.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 5. Accounts Receivable - Collection Program

Primary Test: Delinquent Accounts (CP001.P)

Objective:

Determine if collection program is in place to prevent delinquent accounts receivable.

Approach:

Request a report of the top delinquent Business Partners. Select a sample of delinquent Business Partners based on amount and age of delinquency to test the following:

- A. Was there ongoing Business Partner contact to collect outstanding accounts receivable?
- B. Was appropriate action taken (e.g., Business Partner suspension or non-approval of orders) to minimize delinquencies?
- C. Were there provision for doubtful accounts (PDA) reserves? Was this done in accordance with the Accounting Policies for provision for doubtful accounts?
- D. Review supporting documentation used to record Inventory Financing general and specific reserves. Was the amount calculated correctly, implemented properly and review by management?
- E. Review information from the credit team specifically the special handling team. Request for a list of watch list accounts and focus accounts. These are high risk accounts from a credit risk management perspective.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 5. Accounts Receivable - Collection Program

Primary Test: Unallocated Funds Account (CP002.P)

Objective:

Determine if funds received are allocated to Business Partner accounts on a timely basis.

Approach:

Request a report of transactions in the unallocated funds account during the audit period. Select a sample of unallocated funds based on amount and aging of unallocated funds to test the following:

- A. Was there a process to action and timely resolve funds received but not allocated to the account of the Business Partner that made the payment?
- B. Was there documentary evidence of sufficient and timely actions and monitoring of unallocated funds?
- C. Was there a process to action and timely resolve unidentified cash registers account balances?

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 6. Accounts Receivable - File Adjustments

Objective:

Are file adjustments properly approved, justified, and processed in accordance with established procedures?

Risk/Exposure:

Modification or adjustment of accounts receivable data without appropriate approval or control could conceal fraudulent activity both to the detriment of the corporation and the customer. Delayed processing of adjustments could overstate corporate assets and negatively impact customer satisfaction.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 6. Accounts Receivable - File Adjustments

Primary Test: Interest Write-offs and Concessions (FA001.P)

Objective:

Determine if write-offs of principal and interest/fee concessions were properly approved and supported.

Approach:

Review write-off and concession activity for the time period being audited. Select a sample of high dollar write-offs and concessions to determine the following:

- A. Was there adequate documentation to support the interest write-off or concession?
- B. Was the adjustment properly approved?
- C. Were tax ramifications evaluated during the write off process and write off details provided timely to tax for appropriate handling on applicable tax returns.

Obtain a list of Business Partners who defaulted on their original credit agreement and test for the following:

- 1. Evidence of close monitoring by key personnel and management.
- 2. Business Partner is making payments in accordance with the contract as defined in the restructured credit agreement.
- 3. Has the Business Partner fulfilled all the obligations in the contract?
- 4. Were any exceptions to the restructured credit agreement properly evaluated and approved?

Obtain a list of interest/fee concessions and test proper approval and test if they were properly documented and within delegation.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 6. Accounts Receivable - File Adjustments

Primary Test: Disputes (FA002.P)

Objective:

Determine if receipts placed into dispute were properly approved, supported, and resolved promptly.

Approach:

Review dispute activity for the time period being audited. Select a sample of dispute items based on dollar amount and age of the items and determine the following:

- A. Was there effective management action to resolve dispute items?
- B. Were Business Partner accounts promptly and accurately updated after dispute items were resolved?

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 7. Business Partner Billing

Objective:

Were the fees and any associated interest billed promptly and accurately? In addition, were late payment fees properly assessed, billed timely, and any concessions or revenue reversals properly approved?

Risk/Exposure:

Billing timeliness is important since the financing business is based on the time value of money and assumes that Business Partners receive a complete and accurate invoice on time. Incomplete, inaccurate, or delayed invoicing impacts revenue, collections, cash flow, and customer satisfaction.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 7. Business Partner Billing

Primary Test: Billing (RB001.P)

Objective:

Determine if Business Partners were promptly and accurately billed.

Approach:

Identify all invoices to Business Partners including late fees, interest payable, and adjustments. Select a sample, and test for the following:

- A. Was the Business Partner invoiced in a timely manner?
- B. Was the amount invoiced accurate and fully supported including applicable tax treatment?
- C. Did the BP have a valid agreement in place at the time IBM Financing transacted with the BP?

Request invoices that are under dispute and determine if there were control issues or operational issues that led to the dispute.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 7. Business Partner Billing

Primary Test: Billing Adjustments (RB002.P)

Objective:

Verify that all changes to Business Partner billing invoices were properly approved and supported.

Approach:

Review management reports used to identify dealer billing invoices that had been changed. Select a sample of Business Partner invoices for which the amount had been adjusted to determine the following:

- A. Were the changes properly approved?
- B. Was there a valid business justification for the changes?

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 7. Business Partner Billing

Secondary Test: Business Partner Master File (RB003.S)

Objective:

Determine if additions and changes to the business partner master file were properly approved and adequately supported

Approach:

Review management reports used to identify additions and changes to the business partner master file. Identify additions and changes made to the business partner address or other changes and test the following:

- A. Were the changes properly approved?
- B. Was there a valid business justification for the changes?

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 8. Supplier Payments

Objective:

Were payments to suppliers accurate, on time, properly approved, and fully supported?

Risk/Exposure:

Inadequate supplier payment controls could result in fraudulent payments, late payments, or payments for incorrect amounts. Inadequate control of supplier payments could result in the loss of assets and impact customer satisfaction.

COMMERCIAL FINANCING AUDIT PROGRAM #11-10-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 8. Supplier Payments

Primary Test: Bank Reconciliations (SP001.P)

Objective:

Verify that bank accounts used for supplier payments were reconciled monthly and reconciling items were aged and promptly resolved.

Approach:

Obtain listing of bank accounts used to process supplier payments. Identify accounts that had not been reconciled monthly or that contained reconciling items and test the following:

- A. Were reconciliations performed monthly and properly approved?
- B. Were reconciling items aged and promptly resolved?

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 8. Supplier Payments

Primary Test: Supplier Payments (SP002.P)

Objective:

Verify that supplier payments were complete, accurate, and promptly paid.

Approach:

Identify payments where the payment amount does not match the invoice amount or payments made late and test the following:

- A. Were the payments properly approved and supported?
- B. Were the payments complete and accurate including applicable tax treatment?

Note: With the setup of IBM Credit as a separate entity starting 1Q 2017, ensure all payment made to IBM is being support with appropriate invoice and contract. IBM will be treated as an OEM supplier.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 8. Supplier Payments

Secondary Test: Supplier Master File (SP003.S)

Objective:

Determine if additions and changes to the supplier master file were properly approved and adequately supported.

Approach:

Review management reports used to identify additions and changes to the supplier master file. Identify additions and changes to the supplier's address or other changes made and test the following:

- A. Were the changes properly approved?
- B. Was there a valid business justification for the changes?

Note: With the setup of IBM Credit as a separate entity starting 1Q 2017, ensure IBM was appropriately setup in the supplier master file with correct tax indicator.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 9. Application Management and Separation of Duties

Objective:

Were responsibilities segregated, and access to applications effectively managed, such that no one individual had responsibilities that would allow them to circumvent the system of controls?

In addition, were applications registered and certified as required by IBM corporate instructions and was access to data adequately managed and protected.

Risk/Exposure:

An individual with responsibilities which would permit the initiation and concealment of irregular activity without detection, or with excessive or unauthorized access to applications and data, could cause an exposure to IBM.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 9. Application Management and Separation of Duties

Primary Test: Application Management and Separation of Duties (AS001.P)

Objective:

Determine there was adequate separation of duties and adequate management of access to applications such that no one individual had responsibilities that would allow them to circumvent the system of controls or had unauthorized access to applications and data. Also, determine that all of the applications and spreadsheets being used by commercial financing process were registered and certified as required by IBM corporate instructions.

In addition, determine that the Application System Control Auditability (ASCA) requirements have been met for the spreadsheets used in the process.

Approach:

- Application registration and certification

Validate that all applications have being registered in Business Transformation Management Tool (BTMT) and had ASCA evaluation performed, and certification obtained (where applicable). Also, verify that the BTMT registration and ASCA certification are up to date for the latest release of each application.

In addition, validate that the ASCA requirements have been met for spreadsheets used in the process. ASCA requires an inventory of spreadsheets to be maintained and an ASCA evaluation be performed for spreadsheets that met certain criteria.

- Access management

Obtain a list of applications used and review the process for granting approvals for access to ensure that business need is confirmed. Ensure approvals include the employee's manager, or other relevant individual, that would be aware of other access granted to that employee. Review the process for periodic verification of employees and validation of continued business need. In addition, ensure that access for leavers (including to other roles) is deleted in accordance with IT security timeliness requirements. Refer to IT Security Standards for further details of the corporate policy.

- Separation of Duties

Review, and test as necessary, the separation of duties assessment to validate that a complete separation of duties including all system accesses had been performed, was up to date, and had been reviewed and approved by management. Verify that potential conflicts have been identified and secondary controls established.

COMMERCIAL FINANCING AUDIT PROGRAM #11-10-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 10. Revenue and Cost Recognition

Objective:

To verify the following:

1. An effective management review process is in place to ensure that all revenue is booked in accordance with generally accepted accounting principles and IBM accounting practices and instructions.
2. An effective process for matching cost to revenue is in place to ensure the integrity of cost/revenue recording and gross profit reporting.
3. Secondary controls have been established to detect any evidence of improper practices in revenue-generating activities.

Risk/Exposure:

Inaccurate revenue and cost reporting could have a significant negative impact upon the integrity of the IBM financial statements.

Even if automated systems record cost and revenue in the general ledger from billing and inventory movements, it is still necessary to perform a check to ensure that the process is functioning correctly. Any aged, unmatched items might indicate a lack of processing integrity and/or associated administrative problems.

Where revenue recognition is not triggered by system interfaces, (for example services and systems integration contracts) there is a risk that achievement of measurement targets or commission incentives may encourage misstatement of revenue.

COMMERCIAL FINANCING AUDIT PROGRAM #11-10-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 10. Revenue and Cost Recognition (**THIS TEST COULD BE DESCOPED IF REVENUE RECOGNITION THROUGH BUSINESS PARTNERS IS ALSO INCLUDED IN BRAND CRM AUDITS**)

Primary Test: Commercial Financing Revenue Recognition (CF001.P)

Objective:

Verify revenue and costs are recognized accurately in accordance with generally accepted accounting principles and IBM accounting practices and instructions, in the appropriate period. In addition, determine if an effective process exists to accurately record revenue and interest expense for commercial financing activity.

Approach:

- A. It is key that the revenue recognition rules relevant to the contract and products, or services being reviewed are understood. See the references section of this document for applicable accounting practices and instructions.
- B. Perform a process control interview with the appropriate accounting management and verify the current revenue recognition methodology.
- C. Verify that there is a process to report revenue that was not properly recognized to the appropriate HQ Accounting organization and that management has visibility to this activity. Determine if there is evidence that root cause analysis is performed and that corrective actions are taken as appropriate.
- D. Concessions (write-offs/expenses), rather than revenue reversals (or reductions), were recorded for instances in which IBM met its contractual obligation to the customer but decided that a credit to the customer was required in the interest of customer relations.
- E. In the case of deviations identified within revenue recognition, verify the validity of related commission payments and bonuses.
- F. Review monthly revenue ledger entries to confirm methodology and ensure revenue is recorded in accordance with accounting practices. Perform an analytical review of revenue journal entries, review control reports, ledger reconciliations, manual entries, reclassifications, and select a sample of journal entries to review in greater detail. Focus on quarter-end, year-end activity, high-dollar transactions, special contracts, and exceptions. Test for the following:

Inventory Financing:

- Verify unearned income entry booked.
- Review supporting documentation for manual entries to reverse out the prior months unearned income. Were entries accurate, timely, and approved?

Deferred fees:

- Review documentation to support the deferral and the amortization of fees. Was it accurate, timely, and approved?
- Review the backup to support the deferral and amortization of fees.

Interest Expense*:

- Review supporting documentation for average monthly commercial paper rate.
- Review supporting documentation for calculation of interest expense entry. Were entries accurate, timely, and approved?

*Note: Interest Expense does not affect book reporting. Interest expense is calculated at the IBM Financing level and allocated to both Client and Commercial Financing.

COMMERCIAL FINANCING AUDIT PROGRAM #11-10-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 10. Revenue and Cost Recognition

Primary Test: Commercial Financing Revenue and Cost Accruals (CF002.P)

Objective:

Verify revenue and costs are recognized accurately in accordance with generally accepted accounting principles and IBM accounting practices and instructions, in the appropriate period.

Approach:

Perform a process control interview with the appropriate accounting management and verify the process to record revenue and cost accruals. Based on that, select a sample of revenue and cost accruals from the ledger. Focus on quarter-end, year-end activity, and high dollar transactions.

- A. Are the revenue and cost accruals supported by analysis showing how the accrual levels were determined?
- B. Does the accrual method clearly show that only relevant transactions for the period have been included and that none are taken for the following period?
- C. Where revenue accruals are recorded, is there a control process which ensures that the accrual is reversed when the actual revenue is recorded, and tracks the length of time that the accrual remains on the books?
- D. Is the accrual methodology consistent with the terms of the contract?
- E. Is there any evidence that accrual adjustments are being made without appropriate management approval?
- F. Were the accruals based on reasonable and documented valuations?

NOTE: Special attention should be given to revenue accruals relating to business partner activities.

- G. Non-Accruals:
 - Is a process in place to stop revenue accruals for commercial financing arrangements for which collection is at risk (i.e., place on non-accrual status)? If so, review the list of all accounts placed on non-accrual status and validate that those accounts were appropriately accounted for.
 - Conversely, is a process in place to restart revenue accruals for commercial financing arrangement for which collection is no longer at risk?
 - Review supporting documentation used to place or remove accounts from non-accrual status.
 - Validate that the non-accrual designation was based upon reasonable and consistent criteria.

COMMERCIAL FINANCING AUDIT PROGRAM #11-10-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 10. Revenue and Cost Recognition

Primary Test: Measurements (CF003.P)

Objective:

Verify that measurements are in place to provide management with visibility of operational efficiency and process exceptions. In addition, verify that exception conditions are identified, reported, and properly handled.

Approach:

- A. Do measurements exist to gauge operational efficiency and process exceptions?
- B. Is a gross profit analysis being performed which would identify exceptionally high or low gross profit ratios and could indicate problems with cost/revenue recording? Are the exception conditions investigated, documented, and corrected if found in error (country clip levels must be taken into consideration)?
- C. Is there evidence of management visibility and review to all measurements and exception activity?
- D. Assess the size and age of balance sheet variances. Determine if the variances indicate any operational issues. Determine if there are actions identified to resolve the variances and if the actions are being executed within a reasonable timeframe.
- E. Was the measurements calculation accurate?

COMMERCIAL FINANCING AUDIT PROGRAM #11-10-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 11. Business Continuity Planning

Objective:

To determine if process owners have developed, reviewed, and tested business continuity plans (BCP) so that in the event of natural or man-made disasters, pre-defined plans can be executed to maintain business operations. In particular continuation of business and management of assets (outstanding loans).

Risk/Exposure:

Any material disruption of business operations due to natural or man-made disasters can lead to significant financial loss not only IBM but potentially also for IBM's customers. For commercial financing this could impact the ability to manage loans. Many business processes have been centralized, and often operations are conducted in locations which may be susceptible to business disruption. As a result, it is important that business and process owners have developed plans to maintain continuity of business operations in those centralized operations.

COMMERCIAL FINANCING AUDIT PROGRAM #11-10-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 11. Business Continuity Planning

Secondary Test: Business Continuity Plan (BC001.S)

Note: Business continuity risks become increasingly important in the environment where there are centers of excellence and multiple countries are supported by one center. This should therefore be an important test and considered primary in that environment. IT testing for disaster recovery is handled by the IT audit teams.

You should refer to BPBC127 Guideline for Business Process - Area Business Continuity Planning in the reference section of this audit program, in support of your review.

Objective:

Was there a comprehensive business continuity plan (BCP) in place to enable continuation of business and management of assets (outstanding loans) should a significant event occur that disrupted current operations and/or systems.

Approach:

A guideline has been put in place for process owners providing guidance on business continuity planning (BCP). It should be noted by the audit team that this is a guideline rather than a specific instruction. However, it will act as a guide for you to understand whether key risks have adequately been considered for BCP and enable you to make an informed judgement regarding the risk mitigation in place. Different processes will have their own unique risk profiles regarding the probability and impact of an interruption to business operations. For example, the probability and impact of a business interruption for a process which has been centralized for multiple countries in a location with less-developed infrastructure is likely greater than that of a process supporting only a single country in location with robust infrastructure. As such, auditor judgment will be required to determine how important BCP is for a particular process, as well as to determine the reasonableness of any plans that have been designed by the process owners.

In the initial data request information ask for the process owner to confirm what plans have been implemented to ensure business continuity in the event of a natural or man-made disaster. Review that non-I/T process elements have been adequately considered in the BCP.

The following list of questions has been designed based on the BPBC127 Guideline for Business Process - Area Business Continuity Planning.

1. Has management assessed the risk to business continuity (BC) and identified the key business processes and activities that require formal business continuity planning based on impact to the business.
 - Identification and prioritization of business processes' activities in addition to prioritization done through by the Enterprise Process Owner (level 3 plans)
 - Understanding and documentation of the potential impact (financial, operational and reputation) to IBM from business disruptions from uncontrolled, non-specific events
 - Identification of the legal and regulatory requirements for the institution's business functions and processes
 - Review and approval from senior management

COMMERCIAL FINANCING

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 11. Business Continuity Planning

Secondary Test: Business Continuity Plan (BC001.S)

(Continued)

2. For critical business areas and processes, has the maximum acceptable outage (MAO) been established and considered in the BC plan?
 - Estimation of maximum allowable outage (MAO), based on the “acceptable level” of losses, associated with the institution's business functions and processes
 - Estimation of recovery time objectives (RTOs), recovery point objectives (RPOs), and Maximum Tolerable Downtime (MTD) of applications and supporting technology required for business operations
 - If applicable, recommended critical path recovery order
 - Reconciled with agreed IT recovery priorities (Business Criticality Values, RTO/MTD)
3. For business areas and processes where there is a business continuity risk, has the BC Plan been created, reviewed, and approved by management?
 - The organization shall establish documented procedures for responding to a disruptive incident and how it will continue or recover its activities within a predetermined timeframe
 - Top management shall review the organization's BCMS, at planned intervals, to ensure its continuing suitability, adequacy and effectiveness
4. Does the Plan document the specific continuity and recovery actions for all four impact scenarios (workforce, workplace, IT, and regional) that will need to take place to mitigate risk to the business if the impact lasts longer than the documented business' maximum acceptable outage?
 - Flexible to respond to unanticipated threat scenarios and changing internal conditions
 - Focused on the impact of various threats that could potentially disrupt operations rather than on specific events
 - Effective in minimizing service disruptions and financial loss through the implementation of mitigation strategies
5. Does the BC plan clearly identify dependencies such as site resources, IT, suppliers, process interdependencies, partners, non-IT services and been reviewed and synchronized with the appropriate crisis management team?
 - An effective BCP coordinates across its many components, identifies potential process or system dependencies, and mitigates the risks from interdependencies
6. Is there an established, management-endorsed business continuity team to oversee the maintenance, invocation, and execution of the BC plan?
 - Defined roles and responsibilities for people and teams having authority throughout an incident
 - Additional teams as necessary to facilitate recovery execution per the chosen strategy
7. Are personnel aware and educated on the plan, strategy and roles?
 - Business continuity training should be an integral part of the BCM
 - Comprehensive training program should be developed for all employees, conducted at least annually, and kept up to date to ensure that everyone understands their current role in the overall recovery process
 - An audit trail should be maintained to document management's training efforts.

COMMERCIAL FINANCING AUDIT PROGRAM #11-10-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 11. Business Continuity Planning

Secondary Test: Business Continuity Plan (BC001.S)

(Continued)

8. Is there a regularly executed process for validating the Plan through tests including key elements such as people, technology (data, systems, applications, and telecommunications), and locations that house staff and technology to ensure fit for purpose and alignment with current risks?
 - Tests should be based on appropriate scenarios that are well planned with clearly defined aims and objectives that promote continual improvement
 - Produce formalized post-exercise reports that contain outcomes, recommendations, and actions to implement improvements and are reviewed with management
 - Tests are conducted at planned intervals and when there are significant changes within the organization or to the environment in which it operates
9. FOR COMMERCIAL CONTRACTS: Where IBM has customer contracts including business continuity planning, have BC plans been implemented in accordance with contractual obligations?

FOR CUSTOMERS WITH REGULATORY REQUIREMENTS: Does the plan accommodate and account for the any unique rigor or accommodations for the regulatory body.

- Adherence with contractual obligations contained in the IBM Responsibilities section of the Schedule or similar agreement. Including communication, recovery parameters, specialized technical designs.
- Special considerations to meet unique regulatory requirements (HIPAA – US Healthcare has unique wording

COMMERCIAL FINANCING AUDIT PROGRAM #11-10-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 12. Regulatory Compliance and Taxes

Objective:

Was the IBM legal entity and commercial financing transactions and contracts in compliance with any applicable local regulatory requirements, accounting regulations, statutory reporting, and tax laws?

Risk/Exposure:

Noncompliance with regulatory requirements, accounting regulations, statutory reporting, and/or tax laws could result in legal implications and additional cost to IBM.

Note: Determine what regulatory compliance is applicable, plus what actions CoF have taken to determine and document this. Commercial Financing uses the term 'banking country' for the countries where the Commercial Financing business is subject to regulation. Take note on the banking regulatory and other applicable regulatory for financial institute with the setup of IBM Credit as a separate entity.

COMMERCIAL FINANCING AUDIT PROGRAM #11-10-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 12. Regulatory Compliance and Taxes

Primary Test: Regulatory Compliance (RT001.P)

Objective:

Is commercial financing transactions and contracts in compliance with any applicable regulatory requirements?

Approach:

- Obtain a complete listing of all the regulatory authorities and regulations in the country that commercial financing needs to comply with.
- Obtain a copy of all the registrations that have been obtained.
- Determine filing requirements with regulatory authorities and review the most recent filings.
- Review the reports for any recent reviews performed relating to regulatory compliance.
- Review latest reports and inputs from PwC (or similar service provider engaged by IBM) on regulatory compliance of the commercial financing business; and meet with them as necessary to discuss.

COMMERCIAL FINANCING AUDIT PROGRAM #11-10-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 12. Regulatory Compliance and Taxes

Primary Test: Accounting and Statutory Compliance (RT002.P)

Objective:

Is the accounting and statutory reporting of commercial financing transactions in compliance with the local accounting rules and regulations? **(THIS COULD BE DISCUSSED WITH PWC, AS THEY USUALLY CERTIFIED THAT OUR FINANCIAL STATEMENTS ARE REASONABLE, SO NO NEED TO RETEST/OVERLAP)**

Approach:

- Determine the applicable accounting rules and statutory reporting requirements for commercial financing transactions.
- Obtain a copy of the last audited financial report.
- Determine if PricewaterhouseCoopers (PwC) (or similar service provider engaged by IBM) have confirmed if the recording of commercial financing transactions is in compliance with the accounting and statutory rules applicable to the IBM legal entity.
- Arrange to meet with PwC (or similar service provider engaged by IBM) as necessary to discuss the accounting and statutory requirements, and any concerns they may have.
- Verify the processes, general ledger entries, and statutory reporting are in compliance with the accounting rules and statutory requirements.

COMMERCIAL FINANCING AUDIT PROGRAM #11-10-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 12. Regulatory Compliance and Taxes

Primary Test: Taxes (RT003.P)

Objective:

Determine if IBM Tax and PricewaterhouseCoopers (PwC) (or similar service provider engaged by IBM) have approved the criteria by which commercial financing transactions are recorded for tax purposes.

Approach:

Meet with IBM Tax and PwC (or similar service provider engaged by IBM) to determine if they have approved the criteria by which commercial financing transactions are classified and recorded, and if the tax treatment was properly performed.

Review the most recent IBM Tax confirmation on the local tax treatment applicable to commercial financing transactions.

Review the most recent audit report and meet with the external auditors to discuss any concerns.

- Is there any difference in the treatment of commercial financing transactions between the local country accounting rules and the local tax laws? Review and test as appropriate.
- Direct tax: how are the different types of commercial financing transactions recorded for taxable revenue purposes?
- Income Tax: what is the value added tax or other types of sales tax applicable to the various types of commercial financing transactions?
- Withholding tax: are commercial financing transactions across country borders subject to withholding tax?
- Was re-payment of withholding tax by IBM appropriately being managed and paid to IBM Credit?